
Crib.

PROPERTY SERVICES



FREQUENTLY ASKED
QUESTIONS

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01. GENERAL

1. WHAT MAKES CRIB DIFFERENT?

WE'VE LIVED THE SAME CHALLENGES MOST INVESTORS FACE - JUGGLING FULL-TIME JOBS, RAISING KIDS, SCRAPING FUNDS TOGETHER, AND MANAGING REFURBS ON ZERO SLEEP. WE STARTED OUR JOURNEY WITH A NEWBORN, NO SPARE CASH, AND A VISION TO CHANGE OUR LIFE. THAT'S WHAT DRIVES US TO HELP OTHERS DO THE SAME - WITH LESS STRESS, FEWER MISTAKES, AND A CLEAR PLAN. WE DON'T JUST SOURCE DEALS. WE BUILD WEALTH-BUILDING STRATEGIES BASED ON TRUST, SMART PLANNING, AND HONEST ADVICE.

2. WHAT AREAS DO YOU COVER?

WE PRIMARILY OPERATE ACROSS THE WEST MIDLANDS, WITH A STRONG FOCUS ON COVENTRY AND SURROUNDING AREAS. THIS IS THE REGION WE KNOW BEST, AND WHERE WE CONSISTENTLY SEE THE STRONGEST RETURNS ON INVESTMENT.

3. WHAT PACKAGES DO YOU OFFER?

WE OFFER THREE SERVICE PACKAGES:

- **CRIB HUNTER** IS OUR SOURCING-ONLY SERVICE. WE IDENTIFY DEALS BASED ON YOUR CRITERIA, PERFORM FULL DUE DILIGENCE, AND PRESENT YOU WITH A CLEAR, EASY-TO-READ INVESTMENT PACK. WE ALSO SUBMIT OFFERS ON YOUR BEHALF. IF A DEAL FALLS THROUGH DUE TO MAJOR ISSUES OR THE SELLER PULLING OUT, WE'LL FIND YOU A NEW ONE AT NO EXTRA COST.
- **CRIB-TO-LET** INCLUDES EVERYTHING IN CRIB HUNTER, PLUS FULL SUPPORT DURING THE SALE PROGRESSION PHASE - THIS INCLUDES CHASING AGENTS AND SOLICITORS, ORGANISING SURVEYS, REVISITING THE PROPERTY TO FINALISE QUOTES, AND COORDINATING HANDOVER TO LETTING AGENTS. IT ALSO INCLUDES MANAGEMENT OF A STANDARD REFURBISHMENT, TYPICALLY FOCUSED ON GENERAL UPDATES OR LIGHT RENOVATIONS NEEDED TO GET THE PROPERTY RENTAL-READY.
- **CRIB ACCELERATOR** INCLUDES EVERYTHING IN CRIB-TO-LET, BUT WITH A MORE ADVANCED AND HANDS-ON REFURBISHMENT PROCESS. THIS IS DESIGNED FOR MAJOR WORKS SUCH AS LAYOUT CHANGES, ADDING BEDROOMS, OR BUILDING EXTENSIONS TO INCREASE BOTH RENTAL YIELD AND CAPITAL VALUE. WE MANAGE THE ENTIRE PROCESS END-TO-END, ENSURING TIMELINES AND BUDGETS ARE MET, WITH REGULAR VIDEO PROGRESS UPDATES AND A FINAL WALKTHROUGH BEFORE LETTING.

4. WHY DON'T YOU LIST YOUR PRICES ONLINE?

EVERY INVESTOR HAS DIFFERENT GOALS, BUDGETS, AND TIMELINES - AND WE TREAT EVERY PROJECT ACCORDINGLY. THAT'S WHY WE OFFER A FREE 1-TO-1 CALL TO UNDERSTAND YOUR SITUATION AND RECOMMEND A PERSONALISED APPROACH.

5. WHAT HAPPENS IF THE PROPERTY PURCHASE FALLS THROUGH OR THE SELLER PULLS OUT?

IF YOUR DEAL FALLS THROUGH - WHETHER DUE TO A SELLER PULLING OUT OR ISSUES DISCOVERED DURING THE SURVEY - WE'LL CONTINUE SOURCING NEW PROPERTIES FOR YOU UNTIL A SUCCESSFUL DEAL IS SECURED. THERE'S NO LIMIT TO HOW MANY REPLACEMENTS WE'LL PROVIDE.

6. WHAT IF I DON'T LIKE ANY OF THE PROPERTIES YOU SEND ME?

YOU'RE UNDER NO OBLIGATION TO ACCEPT ANY OF THE PROPERTIES WE PRESENT. HOWEVER, WE DO RECOMMEND PUTTING IN OFFERS WHERE POSSIBLE TO MAXIMISE YOUR CHANCES OF SECURING A GREAT DEAL. DELAYING TOO LONG COULD RESULT IN MISSED OPPORTUNITIES FOR CASH FLOW AND CAPITAL GROWTH - ESPECIALLY AS FALLING INTEREST RATES OFTEN LEAD TO RISING PROPERTY PRICES.

7. CAN I CHANGE MY MIND AFTER AN OFFER IS ACCEPTED?

YOU'LL BE ABLE TO REVIEW MULTIPLE PROPERTIES BEFORE COMMITTING. HOWEVER, ONCE WE'VE HAD AN OFFER ACCEPTED ON YOUR BEHALF, WE ASK THAT YOU PROCEED. BACKING OUT AT THAT STAGE COULD HARM OUR RELATIONSHIPS WITH AGENTS. THAT SAID, IF A PROPERTY IS DOWN-VALUED OR INCURS UNFORESEEN COSTS THAT MAKE IT UNVIABLE, WE WILL HELP SOURCE AN ALTERNATIVE.

8. I'M AN EXPAT OR NON-UK RESIDENT. CAN I STILL INVEST THROUGH CRIB?

YES - BUT THERE ARE SOME LENDING-RELATED CONSIDERATIONS. FOR EXAMPLE, MOST LENDERS REQUIRE A MINIMUM PURCHASE PRICE OF 130,000 FOR EXPAT INVESTORS, AND A 40% DEPOSIT IF YOU DON'T ALREADY OWN PROPERTY. IF YOU'RE UNSURE WHETHER YOU QUALIFY, WE RECOMMEND SPEAKING WITH ONE OF OUR TRUSTED MORTGAGE BROKERS FOR TAILORED ADVICE.

9. I'M CURRENTLY UNEMPLOYED. CAN I STILL BUY A PROPERTY?

TO SECURE FINANCING, YOU GENERALLY NEED TO BE IN EMPLOYMENT AND PROVIDE AT LEAST 2 MONTHS' PAYSLEIPS. HOWEVER, IF YOU ALREADY OWN A PROFITABLE PROPERTY PORTFOLIO OR RUN A SUCCESSFUL BUSINESS, THERE MAY BE OTHER ROUTES AVAILABLE. LET US KNOW IF YOU'D LIKE TO SPEAK TO ONE OF OUR PARTNER BROKERS.

10. HOW DO I SIGN UP?

BEFORE SIGNING UP, WE WANT TO MAKE SURE CRIB IS THE RIGHT FIT FOR YOU. THE FIRST STEP IS TO BOOK A CRIB CONNECT CALL A FREE CONSULTATION WHERE WE'LL DISCUSS YOUR GOALS, BUDGET, AND WHAT YOU'RE HOPING TO ACHIEVE THROUGH PROPERTY.

AFTER THE CALL, IF WE'RE A GOOD MATCH, WE'LL SEND YOU A LINK TO YOUR PRIVATE PAYMENT PAGE, SECURED WITH A UNIQUE PASSWORD. ONCE PAYMENT IS COMPLETE, YOU'LL OFFICIALLY BE ON BOARD AND WE'LL GET STARTED RIGHT AWAY.

02. OUR PROCESS

1. HOW LONG DOES THE WHOLE PROCESS TAKE?

THE FULL PROCESS TYPICALLY TAKES BETWEEN 6 TO 10 MONTHS FROM PAYING THE COMMITMENT FEE TO THE PROPERTY BEING LET:

- 1-2 MONTHS TO SOURCE A SUITABLE INVESTMENT PROPERTY
- 3-4 MONTHS FOR LEGAL COMPLETION (CONVEYANCING)
- 2-3 MONTHS FOR REFURBISHMENT
- 1-4 WEEKS TO GET THE PROPERTY TENANTED

2. WHAT'S THE TYPICAL LEAD TIME FROM OFFER ACCEPTANCE TO IT BEING LET?

FOR MORTGAGE PURCHASES, IT USUALLY TAKES AROUND 4 MONTHS FOR THE LEGAL PROCESS AFTER AN OFFER IS ACCEPTED, FOLLOWED BY A 2-3 MONTH REFURBISHMENT PERIOD. SO FROM OFFER ACCEPTANCE TO THE PROPERTY BEING LET, YOU'RE GENERALLY LOOKING AT A MINIMUM OF 7 MONTHS.

3. HOW DO YOU CHOOSE THE PROPERTIES YOU SEND TO CLIENTS?

WE USE A STRINGENT SELECTION PROCESS BASED ON:

- COMPARABLE SALES (WITHIN 1/4 MILE OVER THE LAST 6 MONTHS, SIMILAR TO A RICS SURVEYOR)
- REFURBISHMENT FEASIBILITY, COST, AND ALIGNMENT WITH YOUR CRITERIA
- LOCAL AREA DEMAND AND INVESTMENT POTENTIAL

WE ALSO APPLY A 20+ POINT DUE DILIGENCE CHECKLIST. EVERY PROPERTY MUST MEET OUR INTERNAL STANDARDS BEFORE IT'S APPROVED BY ONE OF OUR DIRECTORS AND SENT TO YOU.

4. HOW MANY PROPERTIES WILL I RECEIVE EACH WEEK?

THE NUMBER OF PROPERTIES WE SEND DEPENDS ON YOUR CRITERIA AND CURRENT MARKET CONDITIONS. WE AIM TO SEND AS MANY RELEVANT, HIGH-QUALITY OPTIONS AS POSSIBLE.

5. HOW DO YOU SOURCE YOUR PROPERTY DEALS?

WE CAST A WIDE NET BY USING PLATFORMS LIKE RIGHTMOVE AND WORKING CLOSELY WITH ESTATE AGENTS. THIS ALLOWS US TO TAP INTO LARGE INVENTORIES AND HIGH-GROWTH AREAS.

WE SHORTLIST THE TOP 5% OF PROPERTIES THAT:

- A. ARE IN AREAS WITH STRONG CAPITAL GROWTH
- B. OFFER HIGH RENTAL DEMAND AND YIELDS ABOVE 7%
- C. ARE NEAR SCHOOLS, HOSPITALS, AND TRANSPORT LINKS
- D. HAVE STRONG COMPARABLES WITHIN 1/4 TO 1/2 MILE
- E. ARE PRICED COMPETITIVELY BASED ON THEIR CONDITION AND POTENTIAL

6. DO YOU WORK WITH OFF-MARKET PROPERTIES?

WE HAVE SECURED SEVERAL OFF-MARKET DEALS IN THE PAST, BUT OUR CORE STRATEGY FOCUSES ON WORKING CLOSELY WITH AGENTS TO ACCESS AND SECURE STRONG ON-MARKET OPPORTUNITIES.

7. HOW ARE VIEWINGS CONDUCTED?

WE CARRY OUT A DETAILED INTERNAL AND EXTERNAL INSPECTION USING A COMPREHENSIVE DEFECT CHECKLIST. DURING VIEWINGS, WE:

- TAKE INTERNAL VIDEO WALKTHROUGHS
- ESTIMATE REFURBISHMENT COSTS USING OUR IN-HOUSE CALCULATOR
- PREPARE A FULL INVESTMENT PACK, INCLUDING:
 - A. COMPARABLE SOLD PRICES
 - B. EXPECTED RENTAL INCOME
 - C. AREA INVESTMENT RATIONALE
 - D. TOTAL INVESTMENT COST BREAKDOWN
 - E. NET CASH FLOW PROJECTIONS
 - F. CAPITAL GROWTH FORECASTS

8. CAN I VIEW THE PROPERTY IN PERSON BEFORE PLACING AN OFFER?

WE STRONGLY ADVISE AGAINST VIEWING BEFORE PLACING AN OFFER, AS SPEED AND AGENT RELATIONSHIPS ARE KEY. WAITING TO VIEW CAN SLOW DOWN THE PROCESS AND REDUCE YOUR CHANCES OF SECURING A DEAL. WE RECOMMEND VIEWING AFTER OFFER ACCEPTANCE. IF YOU CHOOSE NOT TO PROCEED, WE CAN ALLOCATE THE DEAL TO ANOTHER CLIENT.

9. CAN I SEE THE PROPERTY VIRTUALLY?

YES, WE CAN PROVIDE VIDEO VIEWINGS FOR ANY PROPERTY WE SHORTLIST FOR YOU.

10. WHAT'S MY INVOLVEMENT IN THE PROCESS?

YOUR MAIN RESPONSIBILITIES INCLUDE REVIEWING DOCUMENTS WE PROVIDE, ATTENDING CALLS WITH SOLICITORS OR BROKERS WHEN NEEDED, AND SUPPLYING PERSONAL DOCUMENTS WE CAN'T HANDLE ON YOUR BEHALF. WE TAKE CARE OF THE REST.

11. DO YOU HAVE RECOMMENDED SOLICITORS?

YES - WE HAVE STRONG RELATIONSHIPS WITH TRUSTED SOLICITORS AND OTHER PROFESSIONAL PARTNERS, AND WE CAN CONNECT YOU WITH THEM.

12. WHO MANAGES THE PROPERTIES ONCE THEY ARE LET?

WE WORK WITH REPUTABLE LETTING AGENTS WITH PROVEN TRACK RECORDS. THESE ARE TRUSTED PARTNERS WE'VE WORKED WITH OVER MULTIPLE PROJECTS.

13. WHAT ARE THE MANAGEMENT FEES?

OUR PARTNERED LETTING AGENTS TYPICALLY CHARGE 10-12% PLUS VAT FOR MANAGING BUY-TO-LET PROPERTIES.

03. LIMITED COMPANY

1. DO I NEED A LIMITED COMPANY TO PURCHASE A PROPERTY?

WE STRONGLY RECOMMEND PURCHASING INVESTMENT PROPERTIES THROUGH A LIMITED COMPANY, ESPECIALLY IF YOU'RE BUILDING A PORTFOLIO OR ARE (OR WILL BECOME) A HIGHER-RATE TAXPAYER. FOR MOST INVESTORS IN THIS POSITION, A LIMITED COMPANY STRUCTURE IS MORE TAX-EFFICIENT. HOWEVER, WE ALWAYS ADVISE SPEAKING WITH A PROPERTY TAX SPECIALIST TO DETERMINE THE BEST STRUCTURE FOR YOUR PERSONAL SITUATION.

2. DO I NEED A SEPARATE BANK ACCOUNT FOR MY LIMITED COMPANY?

YES - YOU WILL NEED A DEDICATED BUSINESS BANK ACCOUNT IN YOUR COMPANY'S NAME. THIS IS ESSENTIAL FOR PROPER ACCOUNTING, CASH FLOW TRACKING, AND TAX COMPLIANCE.

04. PROPERTY STRATEGY

1. WHAT'S THE DIFFERENCE BETWEEN A BTL AND A BRR BTL?

A STANDARD BUY-TO-LET (BTL) IS WHEN AN INVESTOR PURCHASES A PROPERTY, RENTS IT OUT, AND ALLOWS CAPITAL TO GROW OVER TIME THROUGH PROPERTY APPRECIATION WHILE EARNING MONTHLY RENT.

A BRR BTL (BUY-REFURB-REFINANCE BUY-TO-LET) INVOLVES BUYING A PROPERTY THAT NEEDS WORK, RENOVATING IT TO ADD VALUE, THEN REFINANCING WITH A MORTGAGE TO PULL OUT MOST OF THE INITIAL CASH INVESTED. THE INVESTOR RETAINS THE PROPERTY FOR RENTAL INCOME AND USES THE RECYCLED FUNDS TO BUY AGAIN. THIS IS A COMMON STRATEGY FOR SCALING FASTER.

2. WHAT STRATEGY WOULD YOU RECOMMEND?

IT DEPENDS ON YOUR GOALS, BUDGET, AND TIMELINE. THE BEST WAY TO ASSESS THE RIGHT STRATEGY FOR YOU IS TO BOOK A CRIB CONNECT CALL WHERE WE CAN HELP YOU MAP OUT THE RIGHT ROUTE BASED ON YOUR CIRCUMSTANCES.

3. CAN I ACHIEVE FINANCIAL FREEDOM IN 1-2 YEARS?

IT'S POSSIBLE, BUT VERY UNLIKELY UNLESS YOU HAVE SUBSTANTIAL FUNDS AND USE THE RIGHT STRATEGIES. PROPERTY IS A LONG-TERM, STABLE INVESTMENT WHERE WEALTH IS BUILT OVER TIME THROUGH RENTAL INCOME, CAPITAL GROWTH, AND REFINANCING. WE CAN HELP YOU BUILD A REALISTIC PLAN TO GET THERE AS FAST AS POSSIBLE.

4. WHEN IS THE RIGHT TIME TO BUY PROPERTY?

THE BEST TIME TO BUY WAS YESTERDAY. THE NEXT BEST TIME IS TODAY. PROPERTY PRICES TYPICALLY TREND UPWARD. WAITING OFTEN RESULTS IN MISSED CASH FLOW, LOST CAPITAL GROWTH, AND REDUCED PURCHASING POWER DUE TO INFLATION. DELAYING COULD COST MORE THAN ACTING NOW.

5. SHOULD I BUY WITH CASH OR A MORTGAGE?

THIS DEPENDS ON YOUR CASH AVAILABILITY AND GOALS. FOR STANDARD BTLs, USING MORTGAGES ALLOWS YOU TO ACQUIRE MULTIPLE PROPERTIES. FOR BRR STRATEGIES, CASH WORKS BETTER INITIALLY SO YOU CAN REFINANCE AFTER REFURBISHMENTS AND PULL YOUR MONEY BACK OUT.

6. HOW MUCH MONTHLY PROFIT SHOULD I EXPECT?

OUR SOURCED PROPERTIES TYPICALLY GENERATE 350+ PER MONTH IN CASH FLOW, WITH SOME REACHING 800 DEPENDING ON AREA, REFURB SPEC, AND MORTGAGE TERMS.

7. WHAT'S THE CAPITAL GROWTH FORECAST FOR THE WEST MIDLANDS AND HOW DOES IT COMPARE TO OTHER AREAS?

THE WEST MIDLANDS HAS ONE OF THE STRONGEST CAPITAL GROWTH FORECASTS OUTSIDE OF LONDON. WITH ONGOING INVESTMENT IN INFRASTRUCTURE, UNIVERSITIES, HS2 CONNECTIVITY, AND POPULATION GROWTH, CITIES LIKE BIRMINGHAM, COVENTRY, AND WOLVERHAMPTON CONTINUE TO ATTRACT BOTH DOMESTIC AND INTERNATIONAL INVESTORS. COMPARED TO THE SOUTH, WHERE YIELDS ARE LOW AND PRICES ARE HIGH, THE WEST MIDLANDS OFFERS A BALANCED MIX OF YIELD AND GROWTH POTENTIAL.

SAVILLS PREDICTS STRONG PERFORMANCE IN THE WEST MIDLANDS OVER THE NEXT 5 YEARS, WITH GROWTH PROJECTED AT AROUND 17.3% BY 2028. OVER THE NEXT 2 YEARS, MODERATE BUT STEADY INCREASES ARE EXPECTED, DRIVEN BY IMPROVING INTEREST RATES AND HOUSING DEMAND.

8. HOW ARE HIGHER INTEREST RATES AFFECTING DEALS IN THE WEST MIDLANDS?

WHILE HIGHER RATES HAVE IMPACTED AFFORDABILITY IN THE SOUTH, THE WEST MIDLANDS REMAINS RESILIENT. PROPERTY PRICES ARE STILL ACCESSIBLE, AND RENTAL YIELDS HAVE ROOM TO GROW. THIS HAS MADE THE REGION INCREASINGLY ATTRACTIVE TO INVESTORS SEEKING SOLID RETURNS DESPITE MARKET FLUCTUATIONS.

9. WILL THE PROPERTY MARKET CRASH SOON?

DESPITE MEDIA HEADLINES, THERE'S NO STRONG EVIDENCE OF AN IMMINENT CRASH. ACCORDING TO RIGHTMOVE, BUYER DEMAND REMAINS ABOVE PRE-PANDEMIC LEVELS WHILE SUPPLY IS STILL LOW - THIS HELPS KEEP PRICES STABLE. RENTS ARE ALSO GROWING STRONGLY ACROSS THE WEST MIDLANDS, SUPPORTING LONG-TERM INVESTMENT.

10. IS IT BETTER TO WAIT FOR THE MARKET OR RATES TO DROP?

NO. WAITING MEANS MISSING OUT ON RENT, CAPITAL GROWTH, AND RISKING HIGHER PURCHASE PRICES WHEN COMPETITION RETURNS. ACCORDING TO BLACKROCK, A 1% DROP IN INTEREST RATES HISTORICALLY BRINGS 1 MILLION NEW BUYERS TO THE MARKET. ACTING EARLY IS OFTEN WISER.

11. SHOULD I BUY NOW EVEN IF THE MARKET MIGHT DROP?

'DON'T WAIT TO BUY PROPERTY. BUY PROPERTY AND WAIT.' IF THE MARKET DIPS, SIMPLY HOLD YOUR ASSET. ACCORDING TO SAVILLS, THE WEST MIDLANDS IS FORECASTED FOR LONG-TERM GROWTH. MISSED OPPORTUNITIES USUALLY COME FROM FEAR, NOT FROM THE MARKET ITSELF.

12. ARE YOUR DEALS BELOW MARKET VALUE OR OFF-MARKET?

OUR DEALS MAY BE SLIGHTLY BELOW MARKET VALUE BUT ARE SELECTED PRIMARILY FOR CAPITAL GROWTH AND STRONG RENTAL DEMAND. WE SOURCE FROM BOTH AGENTS AND ONLINE PLATFORMS TO ACCESS THE BEST STOCK WITH SOLID COMPARABLES AND INVESTMENT FUNDAMENTALS.

13. IS IT BETTER TO BUY BELOW MARKET VALUE FOR A BIGGER DISCOUNT?

NOT ALWAYS. 'BMV' DEALS WITH LARGE DISCOUNTS ARE OFTEN IN POOR AREAS WITH LOW DEMAND, POOR TENANTS, AND NO GROWTH. WE PRIORITISE LOCATIONS WITH HIGH YIELDS AND LONG-TERM GROWTH - WHERE YOU CAN REFINANCE AND GROW YOUR WEALTH FASTER.

14. DO YOU SOURCE AUCTION PROPERTIES?

NO, WE AVOID AUCTIONS DUE TO ADDITIONAL RISKS AND UPFRONT COSTS (E.G., LEGAL PACKS AND SURVEYS BEFORE OFFERS). WITH AGENT-LISTED PROPERTIES, THESE COSTS ARE ONLY INCURRED AFTER YOUR OFFER IS ACCEPTED, MAKING THE PROCESS MORE EFFICIENT.

15. IS IT BETTER TO BUY A FLAT OR A HOUSE?

WE SOURCE BOTH - IN THE RIGHT LOCATIONS, BOTH CAN APPRECIATE WELL. WHAT MATTERS MOST IS THE AREA, RENTAL DEMAND, AND COMPARABLES.

16. HOW MANY PROPERTIES DO I NEED TO RETIRE?

IT DEPENDS ON YOUR LIFESTYLE AND FINANCIAL GOALS, BUT FOR MANY INVESTORS, A PORTFOLIO OF AROUND 10 PROPERTIES CAN REPLACE A FULL-TIME INCOME AND OFFER FINANCIAL FREEDOM.

17. I WANT TO GO FULL-TIME INTO PROPERTY. SHOULD I QUIT MY JOB?

NOT UNLESS AT LEAST 75% OF YOUR CURRENT INCOME IS REPLACED BY PASSIVE RENTAL INCOME. UNTIL THEN, IT'S SAFER TO KEEP YOUR JOB WHILE WE HELP YOU BUILD YOUR PORTFOLIO TOWARD FINANCIAL INDEPENDENCE.

18. ARE FLIPS STILL WORKING?

YES, BUT WE SPECIALISE MORE IN WORKING WITH BUYERS THAN SELLERS. FLIPS CAN BE USED TO RAISE CAPITAL, AND WE'RE HAPPY TO DISCUSS THIS STRATEGY WITH YOU ON A CRIB CONNECT CALL.

19. DO YOU OFFER HMOS?

WE CAN HELP WITH HMO STRATEGIES, BUT IT DEPENDS ON YOUR GOALS AND BUDGET. LET'S DISCUSS THIS IN A CRIB CONNECT CALL TO SEE IF IT FITS YOUR PLAN.

20. I ONLY WANT TO INVEST NEAR WHERE I LIVE. IS THAT OKAY?

EMOTIONAL INVESTING CAN BE RISKY. YOUR LOCAL AREA MAY NOT PROVIDE THE BEST RETURNS. AREAS LIKE THE SOUTH OFFER LOW YIELDS. IT'S SMARTER TO CHOOSE LOCATIONS WITH THE BEST RETURN POTENTIAL - THAT'S WHAT WE HELP YOU DO.

05. MORTGAGE

1. SHOULD I CHOOSE A CAPITAL REPAYMENT OR INTEREST-ONLY MORTGAGE?

WE TYPICALLY RECOMMEND INTEREST-ONLY MORTGAGES FOR PROPERTY INVESTORS. THIS APPROACH LOWERS YOUR MONTHLY PAYMENTS, FREEING UP CAPITAL TO REINVEST INTO MORE PROPERTIES. MOST INVESTMENTS OFFER RETURNS FAR ABOVE THE MORTGAGE INTEREST RATE, MAKING INTEREST-ONLY MORE EFFICIENT. PLUS, INFLATION ERODES DEBT OVER TIME - YOUR LOAN STAYS FIXED, WHILE PROPERTY VALUES (AND RENTS) RISE.

2. DO I HAVE TO USE YOUR BROKERS AND SOLICITORS?

WE HAVE A TRUSTED NETWORK OF VETTED BROKERS AND SOLICITORS WE WORK WITH REGULARLY AND RECOMMEND. HOWEVER, YOU'RE FREE TO USE YOUR OWN IF YOU PREFER - IT'S COMPLETELY OPTIONAL.

3. WHAT DOES LTV MEAN?

LTV STANDS FOR LOAN-TO-VALUE. A TYPICAL MORTGAGE IS 75% LTV, MEANING THE LENDER COVERS 75% OF THE PROPERTY'S VALUE AND YOU PROVIDE A 25% DEPOSIT. FOR EXAMPLE, ON A 100,000 PROPERTY, YOU'D CONTRIBUTE 25,000 AND THE BANK WOULD LEND 75,000.

06. BUY TO LET

1. WHAT RENTAL YIELDS CAN I EXPECT?

FOR BUY-TO-LET (BTL) PROPERTIES, WE TYPICALLY SECURE YIELDS BETWEEN 7% AND 11%.

ACCORDING TO RIGHTMOVE'S RENTAL TRENDS TRACKER AND SAVILLS' REGIONAL FORECASTS, THE WEST MIDLANDS CONTINUES TO OFFER STRONG RENTAL PERFORMANCE AND INVESTMENT POTENTIAL. ITS COMBINATION OF AFFORDABLE PROPERTY PRICES, RISING DEMAND, AND ONGOING INFRASTRUCTURE DEVELOPMENT MAKES IT ONE OF THE MOST ATTRACTIVE REGIONS FOR BTL INVESTORS.

2. WHAT IS THE MINIMUM AMOUNT OF CASH I NEED TO INVEST?

GENERALLY, YOU'LL NEED AROUND £70,000-£80,000 AVAILABLE TO INVEST IN A STANDARD BTL PROPERTY. IN SOME CASES, WE MAY BE ABLE TO SOURCE DEALS FOR SLIGHTLY LESS, BUT THEY OFTEN REQUIRE SOME LEVEL OF REFURBISHMENT AND MAY TAKE LONGER TO FIND.

3. WHAT HAPPENS IF A TENANT DOESN'T PAY RENT?

BELIEVE IT OR NOT, WE'VE NEVER HAD A TENANT FAIL TO PAY RENT. THIS IS THANKS TO THE HIGH-QUALITY ESTATE AGENTS WE PARTNER WITH, WHO THOROUGHLY VET TENANTS THROUGH CREDIT CHECKS AND REFERENCING BEFORE THEY MOVE IN.

WE ALSO PRIORITISE PROPERTIES IN AREAS KNOWN FOR ATTRACTING RELIABLE TENANTS WITH LOWER RATES OF RENT ARREARS.

HOWEVER, IF NON-PAYMENT DOES OCCUR, THE LETTING AGENT WILL:

- COMMUNICATE WITH THE TENANT TO UNDERSTAND THE ISSUE
- ATTEMPT TO REACH A RESOLUTION PLAN
- SERVE LEGAL NOTICES AND INITIATE ACTION IF NEEDED

TO FURTHER PROTECT YOURSELF, WE RECOMMEND ADDING RENT GUARANTEE INSURANCE AS PART OF YOUR LANDLORD INSURANCE POLICY. THIS CAN COVER MISSED RENT PAYMENTS AND PROVIDE ADDED PEACE OF MIND.

07. REFURBISHMENT

1. IS IT CRIB WHO CARRIES OUT THE REFURB?

YES - CRIB MANAGES AND DELIVERS THE REFURBISHMENT THROUGH A COMBINATION OF IN-HOUSE STAFF AND TRUSTED SUBCONTRACTORS. WE OVERSEE THE ENTIRE PROCESS TO ENSURE A SMOOTH EXPERIENCE. ALL TRADESPEOPLE ARE VETTED, FULLY INSURED, AND EXPERIENCED. CRIB OFFERS A 3-MONTH WARRANTY ON ALL WORK, AND ALL DOCUMENTATION, GUARANTEES, AND INVOICES ARE ISSUED UNDER CRIB.

2. HOW DO YOU CHOOSE YOUR SUBCONTRACTORS?

EVERY SUBCONTRACTOR IS VETTED. WE REVIEW THEIR PREVIOUS WORK, ASK FOR A LIST OF SKILLS AND LIMITATIONS, AND OFTEN RELY ON TRUSTED REFERRALS. MOST OF THE TRADESPEOPLE WE USE HAVE ALREADY WORKED WITH US MULTIPLE TIMES OR COME HIGHLY RECOMMENDED BY PROVEN CONTRACTORS.

3. HOW LONG DOES A REFURB TAKE? WILL I NEED TO COVER MORTGAGE PAYMENTS DURING THIS TIME?

REFURBS USUALLY TAKE BETWEEN 8-12 WEEKS DEPENDING ON THE SCOPE AND PACKAGE (CRIB-TO-LET OR CRIB ACCELERATOR). YOU WILL NEED TO COVER MORTGAGE PAYMENTS, COUNCIL TAX, AND UTILITY BILLS DURING THIS TIME, BUT WE INCLUDE THESE COSTS IN YOUR DEAL ANALYSIS.

4. DO I PAY FOR THE REFURB UPFRONT OR IN STAGES?

WE TAKE AN INITIAL PAYMENT OF 30-50% DEPENDING ON THE PROJECT TO SECURE TRADES AND ORDER MATERIALS. THE REST IS PAID IN MILESTONE-BASED STAGES AGREED WITH EACH CLIENT. A SMALL PERCENTAGE IS HELD BACK UNTIL FULL COMPLETION - A STANDARD PRACTICE IN THE INDUSTRY.

5. HOW ARE REFURB PAYMENTS MADE?

PAYMENTS ARE MADE VIA BANK TRANSFER. INVOICES ARE SENT DIRECTLY TO YOU VIA EMAIL, AND PROMPT PAYMENT IS REQUIRED TO AVOID DELAYS.

6. ARE SURVEY FINDINGS INCLUDED IN THE REFURB QUOTE?

YES - ANY HIGH-RISK ISSUES FLAGGED IN THE SURVEY (TYPICALLY RISK LEVEL 2 OR 3) ARE FACTORED INTO THE REFURBISHMENT QUOTE. SURVEYORS ARE THOROUGH AND OFTEN FLAG BOTH MAJOR AND MINOR ISSUES. WE FOCUS ON THOSE THAT MUST BE ADDRESSED AND BUDGET ACCORDINGLY.

7. HOW DO YOU ESTIMATE REFURBISHMENT COSTS?

WE CONDUCT VIDEO VIEWINGS AND USE AN INTERNAL PRICING SPREADSHEET BASED ON HISTORICAL COSTS. AS VIEWINGS ARE LIMITED TO 15 MINUTES, THERE IS A CHANCE SOME ISSUES MAY ONLY BE DISCOVERED LATER. THIS IS WHY WE ALWAYS RECOMMEND A BUILDING SURVEY, AS SURVEYORS SPEND OVER 3 HOURS ON-SITE. AN ESTIMATED REFURB COST WITH CONTINGENCY IS INCLUDED IN YOUR INVESTMENT PACK.

8. DO REFURB COSTS OFTEN GO OVER BUDGET?

IT CAN HAPPEN - DUE TO LIMITED VIEWING TIME, NOT EVERY DEFECT IS VISIBLE EARLY ON. THAT'S WHY WE ADVISE GETTING A FULL SURVEY. IF COSTS OVERRUN, WE TRY TO RENEGOTIATE THE PURCHASE PRICE ON YOUR BEHALF. WORST CASE, WE PULL OUT AND FIND A REPLACEMENT DEAL AT NO EXTRA COST TO YOU.

9. WHAT HAPPENS IF THE REFURB GOES OVER BUDGET?

WE'LL FIRST TRY TO REDUCE THE SCOPE OR COST OF WORKS. IF THAT'S NOT POSSIBLE, WE MAY RENEGOTIATE THE PROPERTY PURCHASE PRICE. IF THE DEAL NO LONGER WORKS FINANCIALLY, WE'LL WALK AWAY AND FIND A REPLACEMENT - FREE OF CHARGE.

10. HOW DO YOU GET THE BEST PRICES FOR REFURBISHMENTS?

WE DON'T CHASE THE CHEAPEST OPTIONS - WE FOCUS ON QUALITY AND VALUE. OVER THE YEARS, WE'VE BUILT STRONG RELATIONSHIPS WITH LOCAL SUPPLIERS TO GET BETTER-THAN-AVERAGE PRICES ON KITCHENS, BATHROOMS, FLOORING, AND MORE. OUR TRADESPEOPLE ARE EXPERIENCED AND RELIABLE - IF WE WOULDN'T TRUST THEM IN OUR OWN HOMES, WE WOULDN'T SEND THEM TO YOURS.

11. ARE REFURB COSTS COSMETIC OR STRUCTURAL?

IT DEPENDS ON YOUR BUDGET AND STRATEGY. COSMETIC WORKS INCLUDE DECORATING, KITCHENS, BATHROOMS, AND FLOORING. STRUCTURAL WORK MAY INVOLVE WALL REMOVAL, LAYOUT CHANGES, OR EXTENSIONS. THIS IS BEST DISCUSSED ON A CRIB CONNECT CALL.

12. DO YOU SEE A LOT OF MAINTENANCE ISSUES AFTER REFURB?

NOT REALLY - BECAUSE WE FIX THE KEY ISSUES DURING THE REFURB. FOR EXAMPLE, IF A BOILER IS OVER 10 YEARS OLD, WE REPLACE IT. IF GUTTERS SHOW SIGNS OF WEAR, WE REPAIR OR REPLACE THEM. WE BELIEVE IT'S SMARTER TO SPEND A LITTLE MORE UPFRONT TO AVOID COSTLY REPAIRS LATER - LIKE REPLACING A DAMAGED WALL DUE TO UNTREATED LEAKS INSTEAD OF JUST REPAINTING A SURFACE ISSUE.

13. WHAT ABOUT FUTURE EPC CHANGES?

ALTHOUGH THE GOVERNMENT SCRAPPED THE PROPOSED EPC CHANGES IN 2023, A FUTURE GOVERNMENT MAY REINTRODUCE SIMILAR REQUIREMENTS. ANY CHANGES WOULD GO THROUGH A CONSULTATION PROCESS FIRST. TO PREPARE, CRIB OFFERS AN EPC FUTURE-PROOFING SERVICE UNDER OUR CRIB ACCELERATOR PACKAGE. WE CAN DISCUSS THIS FURTHER DURING A CRIB CONNECT CALL.